



Congressional Update

News for members of Congress and their staff

August 2026

This Month's Top News



The IRS simplifies penalty relief

The IRS announced a new automatic process to provide penalty relief.

[\(Full article on page 2\)](#)



Summer 2026 expanded features for Business Tax Account

The IRS continues to expand features in Business Tax Accounts.

[\(Full article on page 3\)](#)



Summer series helps tax pros protect clients from identity theft

The IRS and Security Summit partners launched the summer "Protect Your Clients; Protect Yourself" campaign.

[\(Full article on page 4\)](#)

Check it out!

The IRS launched the new [Working Families Tax Cuts webpage](#), which includes Trump Accounts and provisions for individuals and workers, including tax inflation adjustments, deductions for seniors, no tax on tips, no tax on overtime and no tax on car loan interest.

The Working Families Tax Cuts significantly affects federal taxes, credits and deductions.

"IRS employees have been working diligently to ensure that the historic benefits of the Working Families Tax Cuts are delivered to the American people quickly and as intended," said IRS Chief Executive Officer Frank J. Bisignano.

Visit the [Working Families Tax Cut links](#) on page 5.



Table of Contents



Check it out!	1
The IRS simplifies penalty relief	2
Summer 2026 expanded features for Business Tax Account	3
IRS, Security Summit launch summer series	4
Marriage means making changes before next filing season	5

The IRS' new Tax Professional Management Office ...	5
Helpful taxpayer information	5
In the News	6
Get Help on IRS.gov	6
Connect with IRS and TAS	6

The IRS simplifies penalty relief, introduces automatic process for eligible taxpayers

The Internal Revenue Service **announced** a new automatic process to provide penalty relief for taxpayers with a history of filing and paying on time, reducing the need for them to request assistance.

The new Automatic Exemption from Penalty will replace the long-standing First Time Abate administrative relief and is designed to simplify the process and reduce burden for taxpayers with a timely compliance history.

“Automatic Exemption from Penalty reflects the IRS’ commitment to making the payment of taxes owed simpler and more consistent,” said IRS Chief Executive Officer Frank J. Bisignano. “By automatically applying penalty relief, the IRS recognizes that taxpayers who historically pay on time should not have to make a formal request for relief that is routinely granted.”

New automatic penalty relief begins in summer 2026

The new Automatic Exemption from Penalty, or AEP, is a systemic administrative relief program expected to begin this summer. AEP applies to eligible original returns beginning with tax year 2025 and 2026 quarterly returns, as well as future tax periods. Taxpayers qualify if they have a history of timely filing the return and paying any tax due in the three prior years (or 12 consecutive quarters for quarterly returns). When taxpayers qualify, penalties are not assessed during processing for:

- › Failure to file
- › Failure to pay
- › Failure to deposit

Taxpayers do not need to take action to receive this relief. If eligible, the IRS will apply AEP and issue a notice confirming that the relief was granted.

Not all returns are eligible for AEP. For example, information returns and returns that are filed only in response to specific transactions or infrequent events (such as Form 706, U.S. Estate Tax Return or Form 709, Gift Tax Return) generally are not eligible.

First Time Abate phased out

First Time Abate has been the most common form of **administrative penalty relief**, allowing eligible taxpayers with a history of timely compliance to request the removal of certain penalties.

The IRS will begin phasing out First Time Abate and transitioning to AEP during the summer of 2026. During this transition, some qualifying taxpayers may still receive penalty notices for eligible tax year 2025 and 2026 quarterly returns. Taxpayers who believe they qualify may contact the IRS to request First Time Abate.

AEP provides relief automatically and will replace First Time Abate for eligible returns with original due dates on or after Jan. 1, 2027. Please visit **Administrative penalty relief** for more information.

What to expect

Taxpayers who do not qualify for AEP may still request **penalty relief for reasonable cause**. The IRS will review those requests and notify taxpayers of the outcome.

While AEP prevents the assessment of certain penalties, taxpayers must still pay any tax and interest due, as well as any penalties not eligible for relief.

Supporting fairness and voluntary compliance

The IRS is making this change to promote fairness and consistency in the application of penalty relief while encouraging voluntary compliance.

By automatically recognizing taxpayers with a strong compliance history, AEP reduces taxpayer burden and ensures penalty relief is applied fairly and equitably to all taxpayers, thereby observing their **Taxpayer Rights**.

For more information about penalty relief eligibility and requirements, visit IRS.gov.



Summer 2026 expanded features for Business Tax Account

The Internal Revenue Service continues to **expand the features** in Business Tax Account (BTA), an online self-service platform that allows authorized users of certain entity types to securely access and manage their federal tax records and information online.

This year, BTA has added valuable and time-saving features to help taxpayers manage their tax obligations online:

- › Users now have access to an expanding library of digital IRS notices. Recently added notices include **CP081B, We May Have a Refund for You**, **CP211A, Application to file extension of time approved**, **CP134R, Federal tax deposits discrepancy – Due a Refund**, and many more.
- › Designated officials can now download an Employee Identification Number (EIN) verification notice, **Notice CP575, Notice of New Employer Identification Number**, which can be used instead of Letter 147C, EIN Previously Assigned, at banks and financial institutions.
- › Eligible taxpayers can also submit payments for an Offer in Compromise to settle tax debts for less than the full amount owed.

BTA is a key part of the agency's ongoing work to transform and improve service at the IRS by offering a seamless, convenient digital experience. It also supports a broader initiative to reduce paper-based processes and improve the taxpayer experience.

Who can use Business Tax Account now?

BTA currently supports access for the following organizational types:

- › A sole proprietor who has an Employer Identification Number issued by the IRS.
- › An individual partner or individual shareholder with both:
 - A Social Security number or an Individual Taxpayer Identification Number
 - A Schedule K-1 on file. For partners, this includes tax years 2012-2023. For shareholders, this includes tax years 2006-2023.
- › S corporation
- › C corporation
- › Federal, state and local governments
- › Indian tribal governments
- › Tax-exempt organizations

What can eligible taxpayers do within Business Tax Account?

Depending on their business type and role, eligible taxpayers can:

- › View and make payments toward a balance due using a bank account. This includes payments on a return filed for the current year, late payments for past tax years, and federal tax deposits.
- › Schedule a payment for any business day up to one year in advance and cancel a scheduled payment.
- › View recently processed payments, including payments made through the **Electronic Federal Tax Payment System** online, wire transfers, checks or money orders, and see whether any payments were returned or refused.
- › Store multiple bank accounts in an online "wallet" to manage tax payments.
- › Request a tax compliance check.
- › View the business name and address on file with the IRS.
- › Give account access to eligible employees of the business.
- › View and download transcripts for various payroll, income, and excise tax returns.
- › View and download certain digital notices.

What new features will be added to Business Tax Account in the future?

Future capabilities will enable access to more business and organizational entities and help the Business Tax Account become a more robust online self-service platform.

For more information or to learn about eligibility requirements, visit **Business Tax Account**.



IRS, Security Summit launch summer series to help tax pros protect clients from identity theft

The Internal Revenue Service and Security Summit partners **launched** the summer “Protect Your Clients; Protect Yourself” campaign, a five-week series highlighting practical steps tax professionals can take to protect client data, their businesses, and themselves from evolving tax-related identity theft threats.

Now in its 11th year, the **Security Summit** brings together the IRS, state tax agencies, and the tax industry to combat tax-related identity theft. This year’s summer campaign focuses on emerging scams aimed at tax professionals, core security safeguards, and steps to take if a data theft occurs.

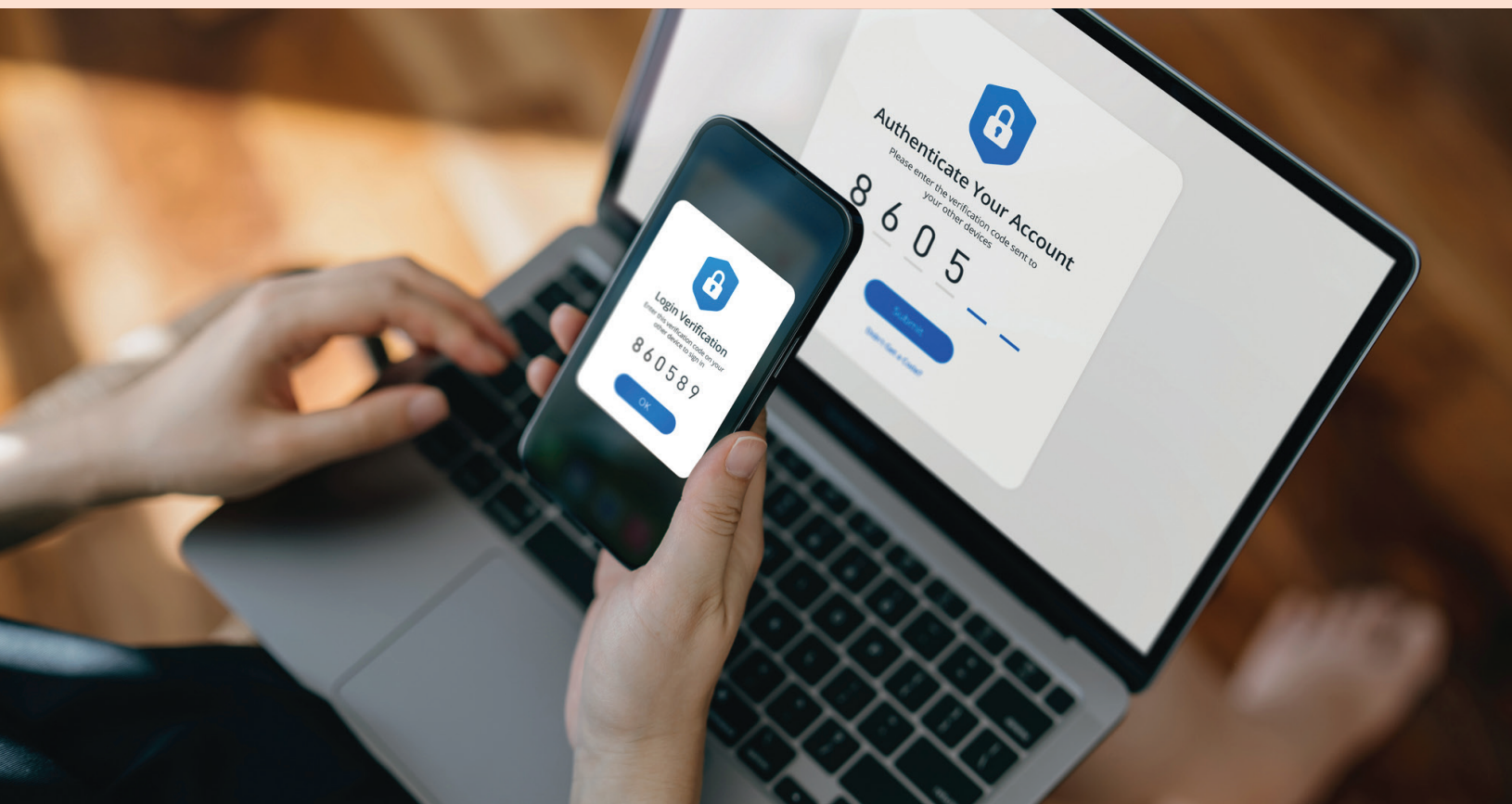
The campaign also coincides with the **2026 IRS Nationwide Tax Forums**, where IRS and Security Summit partners will feature tax professional security tools and tips. After the three-day forum in Chicago, the forums will continue Aug. 4-6 in New Orleans, Aug. 18-20 in New York City, Sept. 1-3 in Orlando, and Sept. 15-17 in San Diego.

“Tax professionals play a critical role in the line of defense against tax-related identity theft and attacks on the integrity of the tax system,” said IRS Chief Executive Officer Frank J. Bisignano. “The 2026 summer series gives tax pros practical steps they can take now to protect client data, strengthen their businesses, and to stay ahead of scam artists and their evolving schemes to defraud taxpayers.”

“Tax professionals are trusted partners to millions of taxpayers, and protecting client data is essential to protecting the integrity of the tax system and ensuring taxpayers can file with confidence,” said Taylor Rodier, Security Summit partner and Legislative Affairs Manager at Drake Software. “Practical security steps, early reporting, and continued collaboration are among the best tools we have to fight tax-related identity theft, and we are proud to work with our Security Summit partners to help tax pros stay ahead of an ever-evolving threat landscape.”

Highlights of the summer campaign:

- › **Week one: New and emerging scams targeting tax pros**
- › **Week two: Phishing, spear phishing, whaling and the “Security Six”**
- › **Week three: Create a security plan**
- › **Week four: Tools to help Protect Your Clients; Protect Yourself**
- › **Week five: Signs of identity theft and reporting theft**





IRS Tips

Helpful taxpayer information on a variety of topics

Marriage means making changes before next filing season

Marriage is an exciting milestone, but it can also affect a couple's tax situation. Here are some simple steps after the wedding that can help make filing next year's tax return easier.

Report a name change

If either person changes their name, it should be reported to the **Social Security Administration** prior to filing a tax return. The name on the tax return must match Social Security records to avoid processing delays.

Submit a change of address, if needed

If either or both spouses moved to a new home, they should notify their local post office, employers, financial institutions and the IRS of any address change. Taxpayers can officially change their mailing address with the IRS by completing and submitting **Form 8822, Change of Address**.

Check tax withholding

Marriage may change a couple's tax responsibilities. Newlyweds should give their employers a new **Form W-4, Employee's Withholding Certificate**, within 10 days. If both people work, this could move them into a higher tax bracket, or they may be affected by the **additional Medicare tax**. The **IRS Tax Withholding Estimator** can be used to estimate the amount of federal income tax to withhold from their paychecks now for the taxes they will owe next year.

Review filing status

A taxpayer's marital status as of December 31 determines their tax filing options for the entire year. Married people can choose to file their federal income taxes jointly or separately. While filing jointly is usually more beneficial, it's best to figure the tax both ways to find out which makes the most sense.

Keep tax records together

Combining important tax documents, such as Forms W-2, Forms 1099 and prior-year tax returns, can help make tax filing easier and ensure all income is reported.

Explore tax credits and deductions

Marriage may affect eligibility for certain tax credits and deductions. Couples should review available tax benefits before filing their return.

More information

- › **Topic no. 157, Change your address – How to notify the IRS**
- › **Publication 505, Tax Withholding and Estimated Tax**

The IRS' new Tax Professional Management Office

The Internal Revenue Service has created a new office to simplify and modernize how it interacts with the tax professional community. The Return Preparer Office (RPO) and the Office of Professional Responsibility (OPR) will align under the new Tax Professional Management Office (TPMO), which will be headed by Chris Pleffner. The change also supports federal workforce management requirements outlined in Executive Order 14210, which focuses on improving organizational efficiency across federal agencies.

The merger will benefit tax professionals and the taxpayer community by creating improved efficiencies and simplified operations, thus making it easier to work with the Service. This reorganization under TPMO will not change the distinction between credentialed tax professionals and uncredentialed tax preparers. The missions of RPO and OPR will remain intact and will operate independently within their respective roles and authorities. Aside from improved efficiencies, the merger will have no impact on how the IRS oversees the tax professional community.

IN THE NEWS

- › [Treasury, IRS issue final regulations naming certain charitable remainder annuity trust transactions as listed transactions](#)
- › [Treasury, IRS provide safe harbor for certain contributions to Trump Accounts under the Working Families Tax Cuts](#)
- › [Treasury, IRS announce intent to issue proposed regulations for excise tax on excess tax-exempt organization executive compensation under the One, Big, Beautiful Bill](#)

Get Help on IRS.gov



Online Accounts

- › [Online account for individuals](#)
- › [Business Tax Account](#)
- › [Tax Pro Account](#)

Filing And Payments

- › [E-file: Do your taxes for free](#)
- › [Payments](#)
- › [Where's My Refund?](#)
- › [Where's my application for tax-exempt status?](#)

Online Tools

- › [Order forms and publications by U.S. mail](#)
- › [Tax Exempt Organization](#) Search
- › [Tax Withholding Estimator](#)
- › [IRS Local Office Locator](#)
- › [Employer identification number](#)
- › [Tools](#)

Assistance

- › [Congressional Affairs Program](#)
- › [Taxpayer Advocate Service \(TAS\)](#)

Resources

- › [Working Families Tax Cuts](#)
- › [Forms & instructions](#)
- › [Report fraud](#)
- › [Identity Theft Central](#)
- › [Revocation or denial of passport](#)
- › [Self-employed individuals tax center](#)
- › [Disaster relief by state](#)

Working Families Tax Cuts Links

- › [Individuals and workers](#)
- › [Families and dependents](#)
- › [Healthcare](#)
- › [Businesses](#)
- › [Clean energy](#)
- › [Investment and community development](#)
- › [Tax-exempt entities and charitable giving](#)
- › [Other taxes](#)
- › [Resources and guidance](#)

Connect with IRS



Connect with TAS



The **IRS Congressional Update** is a monthly newsletter prepared by IRS Legislative Affairs. For information on resolving taxpayer account issues, visit the [**Taxpayer Advocate Service**](#).